Protecting our Nature

Responsible stewardship of the natural environment

Our approach to safeguarding the natural environment reflects the realities of operating in Saudi Arabia, where water scarcity, dust, and high energy demand, require careful and responsible resource management. In response, we focus on a defined set of priorities that address our most significant environmental impacts: climate and energy, sustainable packaging, water stewardship, waste and circular economy practices, and sustainable agriculture. These areas have been identified as material to our operations and are supported by defined targets and performance indicators that are embedded into planning, investment decisions, and operational oversight across all our sites.

Environmental management is integrated into our daily operations through structured processes, clear accountability, and a strong emphasis on prevention and continuous improvement. We work to use energy and materials more efficiently, reduce emissions and waste, and manage water and raw material inputs responsibly, while maintaining the highest standards of product quality and safety.

By strengthening environmental data systems, governance frameworks, and internal capabilities, we aim to progressively reduce our environmental footprint and support the long-term resilience of the ecosystems and communities in which we operate.

Climate Change and Energy Management

At First Mills, addressing climate change is an integral part of how we operate and plan for the future. We recognize the urgency of managing climate-related risks and opportunities, and we integrate sustainable energy practices directly into our operational and investment decisions. Our approach focuses on improving energy efficiency, reducing emissions, and strengthening climate resilience across our facilities.

Climate Change

We incorporate environmental risk considerations into operational planning, preventive maintenance, and site-level performance reviews. Establishing our 2024 GHG baseline provided greater visibility into energy- and emissions-intensive processes, allowing us to prioritize actions with the highest potential impact. Emissions performance is increasingly monitored on an intensity basis, measured per ton of production, ensuring that efficiency improvements keep pace with capacity growth.

Operational transparency plays a key role in managing energy use. Digital monitoring tools such as AdVActory provide real-time process visibility, helping reduce energy losses associated with rework, product loss, and stop–start operations. We have also expanded the use of heat treatment as a chemical-free pest control method, reducing emissions related to fumigation while improving resource efficiency and workplace safety. Packaging specifications are continuously reviewed and optimized to reduce material use where food safety requirements permit, contributing to lower upstream emissions and supporting circular economy objectives.

Our environmental management system remains certified to ISO 14001, reflecting a structured approach to managing environmental performance and embedding climate considerations into governance, risk management, and daily operations.

Approaches and Initiatives

During 2025, we used our 2024 emissions baseline to guide targeted Scope 1 and Scope 2 reduction initiatives, with a particular focus on energy-intensive processes and new capacity additions. Energy-efficiency measures across our mills included power factor optimization, lighting upgrades, and electrical system improvements, supported by AdVActory to strengthen process stability and detect abnormal energy use. We also expanded heat treatment as a chemical free pest control solution and advanced our renewable energy transition by commissioning energy audits and entering into a solar power contract for our Tabuk and Al-Ahsa sites.

Protecting our Nature continued

Energy Management

At First Mills, energy management is a core element of our climate and resource-efficiency agenda. We focus on improving energy productivity and reducing our environmental footprint while maintaining reliable, high-quality production across all facilities.

Optimizing Energy Consumption across our Facilities

We continued optimizing energy consumption across our operations during the year, through a combination of technology deployment, operational discipline, and infrastructure improvements. The expanded roll-out of AdVActory strengthened real-time monitoring of operational and quality parameters, enabling earlier detection of inefficiencies that can lead to unnecessary energy use. This enhanced visibility supports faster corrective action and more stable, efficient production.

We further refined our power factor optimization programs, with most mills achieving power factors above 95%, reducing reactive power losses and associated utility penalties. Energy-efficient LED lighting with motion sensors continued to be installed across production and warehouse areas, lowering baseline electricity consumption. Preventive maintenance programs were also strengthened to ensure that motors, drives, fans, and other energy-intensive equipment operate at peak performance.

In addition, we commissioned an energy-efficient cooling warehouse designed to minimize electricity demand per pallet stored. This facility supports our broader energy-efficiency objectives while reinforcing our commitment to continuous improvement in operational performance and resource management.

Case Study

Powering Efficiency and Eliminating Chemicals

We operate in an energy-intensive industry where electricity costs, grid exposure, and rising ESG expectations require continuous improvement. At the same time, conventional chemical fumigation created production interruptions, safety considerations, and increasing regulatory pressure. These factors highlighted a clear opportunity to stabilize energy use, reduce emissions, and modernize pest control while protecting product quality and operational continuity.

> By reducing pest-control downtime by more than 50% and contracting a 9 MW solar project, we are strengthening efficiency, safety, and long-term energy resilience across our operations.

A dual transformation in energy and operations

We implemented an integrated solution combining renewable energy transition and chemical-free pest control. A 9 MW solar power project was contracted with Safeer for our Tabuk and Al-Ahsa facilities, establishing a pathway to lower Scope 2 emissions and strengthen long-term energy resilience. In parallel, we deployed Saudi Arabia's first chemical-free heat treatment pest-control system in an industrial flour milling environment, replacing phosphine fumigation with controlled thermal treatment. Both initiatives were embedded into standard operating practices to support long-term scalability.

Measurable gains in performance and sustainability

In 2025, operational efficiency and environmental performance improved significantly. Heat treatment reduced pest-control downtime by more than 50%, improving production availability and eliminating chemical residues in treated areas. Power-factor optimization to above 95%, LED lighting, upgraded electrical systems, and improved process monitoring strengthened overall energy performance. In parallel, solar infrastructure advanced toward implementation starting in Q1 2026, with renewable supply expected to begin in the second half of 2026. Together, these actions enhanced safety, reduced emissions intensity, and reinforced operational resilience.

Protecting our Nature continued

Sustainable Packaging

Sustainable packaging is an important part of our environmental stewardship and our commitment to advancing circular economy principles. We aim to reduce the environmental impact of packaging across the product lifecycle while maintaining the highest standards of product safety, quality, and shelf life. Paper remains the primary material used for most of our retail packaging, offering a lower environmental footprint compared with many plastic alternatives.

Progress and Achievements

During 2025, we continued refining our packaging approach with a strong focus on material efficiency and circularity. Packaging specifications were reviewed and optimized to reduce material use wherever product safety and shelf-life requirements allow, lowering the volume of packaging per ton of product. We maintained a strong reliance on paper-based solutions for retail formats and began assessing opportunities to introduce biodegradable and recyclable materials across both consumer and B2B packaging.

We also identified post-consumer paper packaging waste as a key area for improvement and initiated efforts to enhance recycling and reuse practices. This includes exploring collaboration opportunities with downstream partners, regulators, and customers to support more effective material recovery and reuse, aligned with our broader transition toward a circular economy.

Waste Management and the Circular Economy

We are committed to advancing sustainable practices through effective waste management and circular economy principles. Our environmental management system requires systematic identification of environmental aspects associated with waste generation, including packaging, production losses, dust and maintenance-related waste.

Our Product Life Cycle

We carefully consider environmental impacts across the life cycle of our products, from sourcing raw materials to end-of-life management. Our focus is on optimizing resource use, improving efficiency, and reducing waste where feasible through measures such as:

Raw material sourcing

Considering responsible agricultural sourcing and material efficiency

Distribution and logistics

Using bulk loading and reusable packaging where possible to reduce single-use packaging

Production and packaging

Optimizing process yields, reducing packaging material and using nitrogen-filling technology to extend product shelf life and reduce food waste

Usage and consumption

Providing safe, high-quality products that support efficient use and minimize waste

End-of-life management

Supporting circular practices through recycling, reuse of materials (such as wooden pallets and scrap metal) and exploring biodegradable options

Minimizing Waste Across our Operations

Minimizing waste is a core part of how we manage environmental performance across our operations. We work to reduce material loss, improve resource efficiency, and strengthen circular practices throughout our production and logistics activities.

In 2025, we enhanced oversight of waste management by clarifying responsibilities at the site level, particularly for factory managers, and strengthening training programs focused on material efficiency and environmental awareness. These measures supported more consistent waste monitoring and handling across our facilities.

We also addressed key operational waste streams, including pallets, packaging materials, and scrap metals. Wooden pallets are reused wherever possible, extending their lifecycle and reducing material consumption. Scrap metal generated from operations is recovered and repurposed for equipment maintenance, reducing reliance on virgin materials and reinforcing circularity within our processes.

Protecting our Nature continued

Water Management

Responsible water use is a key priority for First Mills, reflecting both operational efficiency goals and the importance of supporting water resilience in the regions where we operate. We work to optimize consumption, reduce freshwater demand, and expand reuse wherever it is safe and feasible.

Our Al-Ahsa and Al-Qassim plants operate sewage water treatment facilities with a combined capacity of 200 cubic meters. Treated wastewater is stored and reused for irrigating landscaped areas and green roadsides, helping reduce reliance on freshwater resources and lowering the environmental impact of our operations.

In 2025, we strengthened our water stewardship approach by initiating site-level water mapping and identifying gaps in sub-metering to better understand how water is sourced, used, and discharged across our facilities. These efforts will support the development of targeted reduction goals based on water use per ton of production and enable more precise monitoring of efficiency improvements and reuse initiatives. Ongoing initiatives focus on reducing water intensity through improved operational practices, enhanced housekeeping measures, and expanded safe reuse where appropriate.

Sustainable Agriculture

We support sustainable agriculture through our feed operations and our commitment to responsible sourcing. By providing nutritionally balanced, energy-efficient feed solutions, we help farmers improve productivity while reducing the need to transport animals to distant grazing areas.

This reduces pressure on vegetation and helps limit land degradation, supporting more sustainable livestock management practices in alignment with the Ministry of Environment, Water and Agriculture's objectives to preserve natural resources.

In 2025, we further formalized our approach to sustainable agriculture by linking operational efficiency, energy management, and resource stewardship with broader national sustainability initiatives, including the Saudi Green Initiative. The continued integration of innovative technologies across our operations, such as heat treatment, planned solar energy adoption, and enhanced water management systems, supports a more efficient and responsible production environment. These efforts contribute to long-term agricultural resilience while reinforcing our role in supporting sustainable food systems.

For more detailed information on our environmental management, including full year-on-year data, calculation methodologies and site-level performance indicators for energy, emissions, water, waste, packaging, and sustainable agriculture, please refer to the 2025 Sustainability Report that will be available our website at https://www.firstmills.com/en/sustainability.php

Looking Ahead

Across First Mills, we will remain focused on strengthening the integration between energy efficiency, renewable energy, and water stewardship to create a more resilient and resource-efficient operating model. We plan to build further on our heat treatment technology to enhance energy performance while maintaining robust pest control standards, and to connect these efficiencies with solar energy deployment and improved water management across our sites.

A key priority is completing a comprehensive energy and GHG baseline for all facilities and implementing a unified monthly KPI dashboard to enhance visibility, accountability, and performance tracking. This will enable more informed decision-making and robust oversight of progress against our environmental objectives.

Operationally, we aim to sustain a power factor of at least 95% across our mills and continue reducing electricity consumption per ton of output. Planned measures include further lighting upgrades, motion sensor expansion, leak reduction, and motor optimization. We will also complete site-level water mapping and sub-metering to support reductions in water intensity through improved housekeeping and expanded safe reuse practices.

Over the coming years, we intend to increase the share of renewable energy in our overall energy mix as solar projects are implemented, deepen circular economy practices in waste and packaging, and explore opportunities to strengthen collaboration with farmers and partners to advance sustainable agriculture initiatives. In the longer term, our objective is to deliver structured sustainability targets that support low-carbon, resource-efficient operations, reduce reliance on non-renewable energy sources, and enhance resilience across our value chain.